

How is China's AI sector financed?

In our recent *AI and double "K-shapes" thematic report*, we discussed the US-China AI race and estimated the size of China's AI capex. A clear distinction in AI capex between the US and China is the role of government. US AI capex is overwhelmingly driven by the private sector, especially the hyperscalers, while China's AI capex is led and mainly funded by the state. In this note, we illustrate the decisive role of state capital from both the central and local governments, and we will also comment on private AI spending centered on cloud services and LLMs. With the *renewed* sharp declines in investment in Q2 and Beijing's *commitment* to stabilizing investment, we believe Beijing will likely accelerate bond issuance and step up fiscal spending in coming months. The AI sector will likely become an even more strategic policy focus, as China seeks to nurture its own full AI supply chains and pursue technology self-reliance.

The decisive role of state capital

China's AI capex lags US levels materially, while the structure of its spending differs considerably from that of the US. While the US government offers a package of USD53bn in funding via the CHIPS and Science Act, the US AI ecosystem is overwhelmingly driven by the private sector, with the vast majority of AI capex funded by hyperscalers. Facing restricted access to advanced chips and a substantial technology gap with the US, China has mobilized extensive, multi-tiered state capital to support its own full AI supply chains, in pursuit of technological self-reliance. Although private enterprises dominate LLMs and AI agents, state capital plays a decisive role in the AI industrial chain's most constrained segments, particularly chip design and manufacturing. We illustrate the multi-layered funding schemes from the central government, local governments and SOEs.

"Big Fund": From Semiconductors to AI

The National Integrated Circuit Industry Investment Fund (commonly known as the "Big Fund") is a core state-backed investment vehicle for China's semiconductor sector, with the strategic goal of elevating domestic IC industrial chains to global advanced standards and fostering world-leading enterprises by 2030. Three fund phases have been launched: Phases I, II and III were launched in September 2014, October 2019 and May 2024, with registered capital of RMB139bn, RMB204bn and RMB344bn, respectively. Major shareholders include the Ministry of Finance, China Development Bank, six major state-owned commercial banks and leading central SOEs, such as China National Tobacco and China Mobile.

The focus of investment has evolved progressively across these fund phases. Phase I prioritized downstream chip manufacturing, packaging and testing to support industrial chain leaders. Phase II shifted upward to target high-barrier upstream semiconductor equipment and materials. Phase III has the broadest coverage, focusing comprehensively on core bottleneck areas. Beyond the traditional semiconductor chain, Phase II has expanded its investment scope to printed circuit boards (PCBs) and AI industries.

Phase III has accelerated tangible AI capital deployment. In January 2025, it co-established the RMB60bn National AI Industry Investment Fund with Guozhitou (Shanghai) Private Equity Fund Management. In early May 2026, it was widely reported that the Big Fund was in active negotiations to lead the initial financing of Chinese AI startup DeepSeek. Collectively, the three Big Fund phases provide nearly RMB700bn in state capital support for semiconductors and AI.

Ultra-long central government special bonds

To boost domestic demand, the central government started to issue ultra-long-term special bonds from 2024, with a large part of the funding designated to support the "Two Majors" (implementing major national strategies and building up security capacity in key areas). In 2026, Beijing allocated RMB800bn out of an overall RMB1.3trn in ultra-long

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central government special bonds (CGSB) for the “Two Majors”, with the scale the same as in 2025. In 2025, this RMB800bn funding supported 1,459 major projects covering transportation, water conservancy, energy, environmental protection and farmland construction. For 2026, the first batch of the “Two Majors” funding was RMB390bn, still prioritizing transportation and energy infrastructure projects. However, for the second batch of RMB217bn announced in April, AI was explicitly identified as one of the key areas for support, marking a formal shift of the use of CGSBs toward AI-related sectors.

National Venture Capital Guidance Fund backed by ultra-long CGSBs

Launched in December 2025 under the joint promotion of the NDRC and Ministry of Finance, the National Venture Capital Guidance Fund is funded by ultra-long-term CGSBs, with initial capital of RMB100bn. With a 20-year lifespan, the fund provides stable, long-cycle capital for tech startups. It strategically targets frontier and high-growth sectors, including integrated circuits, AI, biopharmaceuticals, quantum technology and 6G communications, further supplementing state capital support for early-stage AI innovation.

A Bloomberg report on a RMB2.0trn plan funded by ultra-long CGSBs

Recent news reports suggest Beijing might rely more on ultra-long CGSBs to support the AI sectors. For example, on 9 June 2026, Bloomberg reported that the Chinese government is drafting a RMB2.0trn plan to establish a cohesive nationwide network of data centers over the next five years. The network will rely on domestic suppliers for at least 80% of core technology, including AI chips from Huawei, and will be predominantly operated by state telecom giants, including China Mobile and China Telecom. When factoring in associated power grid infrastructure investments, total project spending is likely to reach at least RMB5.0trn. Funding will primarily come from ultra-long central government special bonds and state funds designated for strategic industries, supplemented by bank loans and private capital.

The “new policy financing tools”

To arrest the sharp decline in investment, Beijing introduced “new policy financing tools (NPFT)”, which were launched in September 2025 with an initial quota of **RMB500bn** and an additional RMB800bn in the fiscal budget for this year. Like the previous two similar schemes in 2015-17 and 2022, these new tools are designed to channel equity financing from three policy banks to investment projects. Unlike the previous two rounds that focused on conventional infrastructure projects, the current program prioritizes the digital economy, AI and consumer infrastructure construction. The initial RMB500bn funding quota was divided up as follows: RMB250bn for China Development Bank (CDB), RMB150bn for Agricultural Development Bank of China (ADBC) and RMB100bn for the Export-Import Bank of China (CEXIM). Specifically, CDB allocated 37.5% of its funds to the digital economy and AI sectors, while CEXIM designated 40% of its capital for these fields. Acting as a quasi-fiscal tool, policy bank financing clearly demonstrates the shift of focus of governmental spending toward the AI industries.

Crucially, these funds serve as project equity capital, delivering a substantial investment leverage effect. According to the NDRC, the initial RMB500bn fund is expected to drive over RMB7trn in total project investment, and the leverage effect could be similar to the additional quota of RMB800bn announced this year.

Local government funding for AI sectors has generally been contained

Compared with central government funding, local governments have deployed relatively less of their own funding to promote AI, as the property fallout continues to weigh on local fiscal conditions. In fact, a significant portion of local government bond issuance over the past three years has been allocated to replace local hidden debt or clean up arrears owed to the private sector.

The net financing of local government bonds totaled RMB5.4trn in 2025, including RMB0.8trn in general bonds and RMB4.6trn in special bonds. Nevertheless, only RMB140bn (merely 2.7%) was channelled into new infrastructure and strategic emerging industrial infrastructure. The proportion further declined to 1.0% in Q1 2026, reflecting limited direct local funding for AI investment in general.

That said, some local governments have managed to ramp up their investment significantly to benefit from the global AI boom. For example, amid the unprecedented global memory supercycle, in April 2026, China's central tech hub Wuhan unveiled a funding package of RMB260bn to support memory chips production expansion in 2026, targeting two major companies: YMTC and XMC.

Favorable financing conditions for AI Firms

In addition to direct state capital, China's financial system has also been supportive for the AI sectors. First, corporate financing costs have trended steadily downward. In 2025, according to the PBoC's Q1 2026 MPR, the overall financing cost of AI-related bond-issuing enterprises fell by about 35bp, outperforming the 24bp decline in average corporate loan rates, even though the 10y CGB yield rose by 18bp, reflecting policy-driven financing cost advantages for AI firms. Second, on funding structure, AI enterprises secured around RMB250bn in direct financing in 2025, with a notable expansion in medium- and long-term bond issuance. This provides stable, long-term capital for core technological R&D and production capacity expansion. Third, innovative financing tools are rapidly expanding. The issuance scale of tech innovation bonds and other specialized instruments surged by over 71% in 2025, effectively diversifying financing channels and easing capital constraints for AI enterprises of various stages.

STAR market and Hong Kong stock market are fueling China's AI ambitions

Amid efforts to revive mainland stock markets and restore capital market confidence, overall IPO activity in China's A-share market has been largely suspended since early 2024. However, a steady stream of tech firms have been allowed to be listed and raise capital on the Shanghai Stock Exchange's STAR Market. Specifically, in the past year, leading domestic GPU designers Moore Threads (RMB8bn) and MetaX (RMB3.9bn), alongside advanced packaging leader SJ Semiconductor (RMB4.8bn) have all completed their IPOs, underscoring institutional support for equity financing of the chips and AI sectors.

In contrast with onshore, Hong Kong has deliberately relaxed its IPO regulations to revitalize its capital market and attract mainland companies, particularly in the technology sector. This policy shift has effectively spurred a wave of listings. Key examples include PCB maker Victory Giant Technology, which raised HKD23bn in April, the largest Hong Kong IPO year to date. Computing chip designer Montage Technology completed a dual listing in Hong Kong with an IPO of HKD8bn, while LLMs firms Zhupu AI and MiniMax raised HKD4.4bn and HKD5.5bn, respectively. Together, the onshore STAR Market and the offshore Hong Kong stock market have strategically channelled substantial capital into Chinese tech companies, supporting the rise of China's chips and AI sectors.

Other industrial incentive policies

Complementing high-profile fiscal and financial instruments, China might have also rolled out other industrial incentive schemes to counter external tech restrictions and enhance supply chain autonomy. For example, in December 2022, Reuters reported a proposed package of five-year, over RMB1trn in subsidies and tax credits to bolster domestic chip R&D and production capacity. In December 2025, Bloomberg disclosed a potential chip incentive program offering up to RMB500bn in subsidies and financial support, aiming to reduce reliance on overseas high-end chips and strengthen technological competitiveness amid US-China tech rivalry.

Private AI spending focuses on cloud services and LLMs

Complementing state-led fiscal and industrial investment, China's private sector also makes contributions to large-scale AI capex, primarily driven by leading cloud service providers (CSPs) and LLM developers. Annual AI capex from major domestic hyperscalers totals approximately RMB500bn, forming a dual-drive investment pattern alongside public funding and fueling the rapid expansion of domestic AI computing capacity.

ByteDance raised its 2026 AI capex plan to over RMB200bn, according to a report from the South China Morning Post in early May, a 25% increase from the RMB160bn preliminary budget discussed at end-2025. Alibaba commits industry-record long-term capital resources to AI and cloud infrastructure. In February 2025, the firm announced a three-year investment plan of over RMB380bn for cloud computing and AI hardware infrastructure, exceeding its total cumulative investment in this sector over the past decade and setting a new benchmark for private sector AI infrastructure spending in China. Importantly, in May 2026, Alibaba further signaled an upward revision of its investment roadmap, saying that its five-year AI infrastructure deployment budget will far surpass the previously announced RMB380bn, reflecting continuous upward adjustment of long-term AI capital deployment.

Other internet giants are also catching up or maintaining their spending trend. Tencent has recently accelerated its AI-focused capital outlays amid booming industrial demand. The

company recorded RMB37bn in AI-related capex in Q1 2026, up 16% y-o-y and notably higher than Alibaba's RMB27bn for the same period. Tencent also vowed to boost full-year 2026 AI capital expenditure, according to Reuters, led by a stronger investment push in H2. Baidu maintains consistent long-term investment in indigenous AI innovation. Since the official launch of its Ernie Bot in 2023, Baidu's cumulative capital and R&D investment in the AI sector have exceeded RMB100bn, underpinning its continuous iteration of LLMs, autonomous driving technology and dedicated AI computing infrastructure.

Fig. 1: The decisive role of state capital in driving China's AI capex

Funding schemes	Funding size	Funding allocated to chips or AI-related sectors	Funding sources	Targeted areas
National Integrated Circuit Industry Investment Fund ("Big Fund")	Phase I: RMB139bn (Sep 2014) Phase II: RMB204bn (Oct 2019) Phase III: RMB344bn (May 2024) A sum of RMB687bn	Fully	Ministry of Finance, China Development Bank, six state banks, and leading central SOEs such as China National Tobacco and China Mobile	Phase I: Chip manufacturing, foundries Phase II: more upstream, including chipmaking equipment, and chip design, packaging and testing Phase III: A more full AI supply chain, including memory chips, lithography equipment, LLMs such as DeepSeek
National AI Industry Investment Fund	RMB60bn (Jan 2025)	Fully	"Big Fund" Phase III and Guozhitou (Shanghai) Private Equity Fund Management	AI chips, memory chips, AI applications
National Venture Capital Guidance Fund	RMB100bn (Dec 2025)	Partially	Ultra-long central government special bonds	Frontier sectors: including chips, AI, biopharmaceuticals, quantum technology, and 6G communications
Ultra-long central government special bonds	2024: RMB1.0trn 2025: RMB1.3trn 2026: RMB1.3trn	Partially, under "Two Majors" (major national strategies and security enhancement in major areas)	Issued by central government (Ministry of Finance)	The RMB800bn "Two Majors" in 2025 mainly covered transportation and energy. For the RMB800bn "Two Majors" in 2026, the first batch was RMB390bn, still prioritizing types of projects similar to 2025. However, for the second batch of RMB217bn announced in April 2026, AI was explicitly identified as a key supporting area
"New Policy Financing Tools"	RMB500bn (Sep 2025) RMB800bn (Mar 2026) A sum of RMB1.3trn	Partially	Three policy banks: China Development Bank (CDB), Agricultural Development Bank of China (ADBC), and Export-Import Bank of China (CEXIM)	Digital economy, AI, low-altitude economy, consumption infrastructure, green sectors, the agricultural sector and the rural areas, transportation and logistics, and industrial parks. The initial RMB500bn: RMB250bn for CDB, RMB150bn for ADBC, and RMB100bn for CEXIM, with about 40% allocated to the digital economy and AI sectors. Funds serve as project equity capital, delivering a substantial leverage effect, with the initial RMB500bn expected to drive over RMB7trn in total investment
Local government special bonds	2024: RMB4.0trn+RMB0.4trn 2025: RMB4.4trn+RMB0.5trn 2026: RMB4.4trn	Partially	Issued by local governments	Municipal infrastructure, industrial parks, transportation, environment protection, energy, state purchase of properties Funds could be served as project equity capital, while a large portion of funding in recent years have been used to swap out hidden debt or clean up arrears owed to the private sector, rather than direct investment

Source: Nomura Global Economics.

Appendix A-1

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